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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 31.10.2018

PRESENT: 1. Hon'ble Member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble Member (T) **Dr. Ashok Kumar Mishra**

CP/CA No.	Purpose	Sec	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA) No24/BB/2018	For pronouncement of order	Sec 230-232	M/s Edvista Education Services Pvt Ltd	J Sagar Associates		Prema Hatti ROC, CGC

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

PETITIONER/s :
ARJUN PERIKAL AND ANDRE PETER FOR J. SAGAR ASSOCIATES — PETITIONERS
9886958 23

RESPONDENT/s :

ORDER

Heard Shri Arjun Perikal with Shri Andre Peter, learned counsel for the Petitioners.

CP disposed of by separate order.

Member(T)

Member (J)

Prema Murray – Steno

IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 24/BB/2018

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 31st October 2018

IN THE MATTER OF SCHEME OF ARRANGEMENT
OF
EDVISTA EDUCATIONAL SERVICES PRIVATE LIMITED
WITH
AEON LEARNING PRIVATE LIMITED

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Edvista Educational Services Private Limited
No.71, 3rd Cross, Mico Layout,
Chandra Layout,
Vijayanagar, Bangalore-560040 - **Petitioner No.1/Demerged Company**

Aeon Learning Private Limited
No.2561, 16th D Main,
HAL 2nd Stage,
Indiranagar, Bengaluru-560038 - **Petitioner No.2/ Resulting Company**

Parties Present : 1) Mr. Perikal K. Arjun,
J. Sagar Associates
Advocate for the Petitioner Company

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 16.04.2018, 04.05.2018, 18.06.2018, 30.07.2018, 23.08.2018, 28.09.2018, 05.10.2018, 08.10.2018, and 16.10.2018

ORDER

A. The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Arrangement between Edvista Educational Services Private Limited (Petitioner No.1/

Demerged Company) and Aeon Learning Private Limited (Petitioner No.2/ Resulting Company) so as to be binding on all the Petitioner Companies, its shareholders and creditors.

B. The averments made in the Company Petitions are briefly described hereunder:-

1. The Petitioner Companies seek an order for sanctioning the Scheme of Arrangement of between Edvista Educational Services Private Limited (Petitioner No.1/ Demerged Company) and Aeon Learning Private Limited (Petitioner No.2/ Resulting Company) so as to be binding on all the Petitioner Companies, its shareholders and creditors. The Scheme of Arrangement is shown as **Annexure –A** to the Petition.

2. The Petitioner No.1/ Demerged Company was incorporated on 24th June, 2014 under the name and style of '*Edvista Educational Services Private Limited*' under the jurisdiction of the Registrar of Companies, Karnataka. The Certificate of Incorporation of Petitioner No.1/ Demerged Company No. 1 bears CIN No. U80301KA2014PTC075033. The Registered office of the Petitioner No. 1/Demerged Company is at No.71, 3rd Cross, Mico Layout, Chandra Layout, Vijayanagar, Bangalore-560040.

3. The object of the Petitioner No.1/ Demerged Company as set out in its Memorandum of Association is as follows:

   i. To run educational institutions, services and to provide infrastructure facilities such as land, building, furniture and other facilities to run educational institutions, schools, academies, colleges for imparting all branches of education both in India and outside India.

   ii. To carry on in India or elsewhere the design, development, implementation of software based contents, products, and services as technology aids and to provide teaching, education, training of technical and non-technical subject matter to people of all categories and calibre so

as to train and orient manpower resource in the areas relating to Computers and other domains and verticals of both Information Technology as well as other sectors including finance, banking, telecom, healthcare, science, engineering, manufacturing, insurance, retail, and other related services and products.

The Copy of the Memorandum & Articles of Association of the Transferor Company is shown in **Annexure-B** to the Petition.

4. The latest authorised share capital of the Petitioner No. 1/Demerged Company is Rs. 64,06,100/- divided into 5,00,000 Equity Shares of Re.1/- each and 59,061 Preference Shares of Rs.100/- each. The issued, subscribed and paid-up capital of the Petitioner No. 1/Demerged Company is Rs.57,96,362/- divided into 1,14,462 Equity Shares of Re.1/- each and 56,819 Preference Shares of Rs.100/- each. The Copy of Audited Financials of the Petitioner No.1/ Demerged company as on 31st March, 2017 and is shown in **Annexure-C** to the Petition. Copy of the provisional Balance Sheet of the Petitioner No.1 / Transferor Company as on 28th February, 2018 and is shown in **Annexure-D** to the Petition.

5. The Petitioner No.2/Resulting Company was incorporated on 26th August, 2013 under the name and style of '*Aeon Learning Private Limited*' under the jurisdiction of the Registrar of Companies, Karnataka bearing CIN U80301KA2013PTC070683. The Registered office of the Petitioner No. 2/Resulting Company is at No.2561, 16th D Main, HAL 2nd Stage, Indiranagar, Bangalore- 560038.

6. The object of the Petitioner No.2/Resulting Company as set out in its Memorandum of Association is as follows:

   i. To carry on the business of imparting education in India and abroad in the fields of art, commerce, science, business management and all other fields of education by conducting, sponsoring or running training centres,

programmes, and courses through classroom, online, blended and offline mode.

ii. To carry on the business of setting up and running schools, colleges, professional colleges, including medical colleges, technical colleges, engineering colleges, business management college, teachers training colleges, coaching centers, tuition centers, training centers for vocational, career and personality development and any other field of education and development, to develop and provide curriculum, course contents, teaching modules and render professionalised coaching in such streams and render all types of support services, consultancy services for other educational institutions and government departments, through classroom, online, blended and offline mode both within India and abroad.

iii. To acquire, take on lease, amalgamate, merge or otherwise take ownership of schools, colleges and all types of educational institutions, run and administer the said institutions, both as owners as well as on behalf of others and to carry on such activity both within India and abroad.

iv. To seek recognition, collaborations, joint ventures, affiliations, associations or co-operations of various institutions, degree/certificate/diploma awarding bodies, governments, companies, corporate, bodies, individual in India and abroad for fulfilment of the objectives of the Company.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner No.2/Resulting Company is shown in **Annexure-E** to the Petition.

7. The latest authorised share capital of the Petitioner No. 2/Resulting Company is Rs. 35,00,000/- divided into 15,00,000 Equity Shares of Re.1/- each and 20,00,000 Preference Shares of Re.1/- each. The issued, subscribed and paid-up

capital of the Petitioner Company No. 2/Resulting Company is Rs. 13,02,036/- divided into 4,88,530 Equity Shares of Re.1/- each fully paid up and 8,13,506 Preference Shares of Re.1/- each. The Copy of Audited Financials of the Petitioner No. 2/Resulting Company as on 31st March, 2017 and as shown in **Annexure F** to the Petition. The Copy of unaudited Financials of the Petitioner No. 2/ Resulting Company as on 20th February, 2018 and as shown in **Annexure G** to the Petition.

8. The Board of Directors of the Petitioner No.1/Demerged Company and Petitioner No.2/ Resulting Company have approved and adopted the Scheme of Arrangement at its respective meetings held on 20th November, 2017. The copies of Board Resolutions are shown in **ANNEXURE – H** and **J** to the Petition respectively.

9. The Petitioner No.1/Demerged Company and Petitioner No.2/ Resulting Company had filed Company Application No.(CAA) 04/BB/2018 before this Tribunal for dispensation of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company. This Tribunal vide its orders dated 02nd February, 2018 allowed the Application and dispensed with convening of meeting of Equity Shareholders, secured Creditors & Unsecured Creditors of the Petitioner Companies. The Copy of the Order of this Tribunal in CA(CAA) No.04/BB/2018 is shown as **Annexure- L** to the Petition.

C. This Tribunal vide order dated 04th May, 2018 directed the Petitioner Companies to issue Notice to all relevant statutory authorities including Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the Newspaper stating the next date of hearing was on 18th June, 2018.

D. In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit dated **01st June, 2018** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udayavani**' a Kannada daily Newspaper.

E. The Registrar of Companies, Karnataka has filed the observations dated 10th August, 2018 making the following observations:

a. As per sub section (6) of Section 232 of Companies Act, 2013, the Scheme under this section shall clearly indicate an appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. Though in the present scheme, appointed date specified as 01/04/2017, it is not clearly stated the effective date.

b. The Resulting Company has submitted share exchange ratio report recommended by Chartered Accountants M/s B.M. Manjunath & Associates wherein the share exchange ratio is mentioned as 5.2544 equity/CCPS shares of Resulting Company for every 1 equity share of the Demerged Company, but not 5.2455 as mentioned in the Scheme. In view of the same reasons may be given for adopting a different share exchange ratio in the Scheme, or share exchange ratio shall be modified as per the valuation report.

c. Method of Accounting Treatment is not mentioned in the Scheme. However, both Demerged and the Resulting Companies submitted a certificate from M/s Puranik & Hebbar, Chartered Accountants that the Scheme is compliance with the Ind-AS103 "Business Combination" except for the recording of assets acquired by Resulting Company at their book values pursuant to demerger in terms of Clause No.12.1 of the Scheme.

d. Hon'ble NCLT, Bengaluru, vide its Order No. CA(CAA) 04/BB/2018 dispensed with the convening of the meetings of the shareholders of both the Companies and unsecured trade creditors of the Demerged Company.

e. There are related party transactions as per Balance Sheet at 31.03.2016 and 31.03.2017 of the Resulting Company. The Company to make good offence good, in case of non-compliance of section 188 of the Companies Act, 2013.

f. There are no prosecutions, complaints, and Technical Scrutiny pending in this office on the Petitioner Companies.

F. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 21st August, 2018 making some observations:

a) The online education division of M/s Edvista educational Services Private Limited (Demerged Company) is to be demerged into the Resultant Company. Both Petitioner Companies have few common shareholders and common directors

b) As per section 232(6) of the Companies Act, 2013, the Scheme under this section shall clearly indicate an appointed date from which it shall be effective and the Scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date. However, Clause 1.5 of the Scheme is contrary to Section 232(6) and needs modification.

c) The Transferee Company has undertaken to increase the authorised capital post-election option by the shareholders as per the Share Exchange Ratio.

d) Regarding ROC's observations on the Share Exchange Ratio, it is submitted that the Petitioner Companies have to modify Clause 11.1, 11.2 and 11.3 of the Scheme to reflect the Share exchange Ratio as certified by the valuer in the Valuation Report.

e) Regarding ROC's observation about related party transactions, the Petitioner Company has clarified in its letter dated 25.06.2018 that all the transaction with related parties was with Board's approval and at arm's length basis and hence no further consideration of the issue.

f) Majority shareholding in the Transferor Company and Transferee Company is held by some family trusts and hence the Petitioner Companies be directed to state details of registration of these trusts and its beneficiaries.

g) The Income Tax Department vide Letter No. DCIT-C-(1)(1)/2018-19 dated 28.05.2018 has conveyed its "No Objection" to the Scheme and sought

protection of interest of revenue in case any demand is created in future for earlier assessment years.

G. The Authorized Signatories of the Petitioner Companies have filed Affidavit dated **21st August, 2018** in furnishing response to the observations of the Registrar of Companies on 10.08.2018, has stated as follows:

i. The effective date of the Scheme has been defined in Clause 1.5 of the Scheme as *"Effective Date" or the "Scheme coming into effect" or the "coming into effect of this Scheme" means the later of the dates on which the certified true copy of the Order of the National Company Law Tribunal, Bengaluru Bench is filed with the Registrar of Companies, Karnataka, by the Demerged Company and the resulting Company* from which date the Appointed date will become effective. Clause 1.2 of the Scheme provides that the Appointed Date for the Scheme will be April 01, 2017. References in this Scheme to the "date of coming into effect of this Scheme" or "date of coming into effect of the Scheme" shall mean the date from which the Appointed Date will become effective. Assets and liabilities of the Demerged Company will be transferred from the Appointed Date in compliance with section 232(6) of the Companies Act, 2013. The transfer of assets and liabilities of the Demerged Company will be operative from the Appointed Date in compliance with section 232(6) of the Companies Act, 2013 on the Scheme becoming effective on the Effective Date. This undertaking/clarification be considered as compliance with this observation.

ii. The share exchange ratio as mentioned in the share swap report by Chartered Accountant M/s B. M. Manjunath & Associates as 5.2544 equity/CCPS shares of the Resulting Company for every 1 equity share of the Demerged Company is correct share exchange ratio. Due to inadvertence and typographical error the share exchange ratio has been mentioned as 5.2455 and Petitioner Companies undertake to issue shares in terms of the recommendation of the Chartered account of 5.2544 equity/CCPS of the resulting Company for every 1 equity share of the Demerged Company.

iii. Clauses 12 and 13 of Part IV of the Scheme details the accounting treatment of the Demerged Company as well as the Resulting Company. In terms of the observation of the Chartered Accountant, the Transferee/Resulting Company undertakes to record the assets acquired based on fair value (instead of book value) in compliance with Ind AS 103- Business Combinations method of accounting.

iv. All transactions with related parties were with approval of Board of Directors of the Companies and at arm's length basis. The Demerged Company and the Resulting Company undertake to make necessary application to compound non-compliance of Section 188 of the Companies Act, 2013, if any.

v. The resulting Company undertakes to pay tax demand in future for earlier years relating to the Demerged Undertaking.

vi. Details of registration of Trusts holding shares in Demerged Company and resulting Company are as follows:

Edvista Educational Services Private Limited (Petitioner No.1/ Demerged Company)		
S. No.	Name of Shareholder	Details of Trust
1.	SAMA Family Trust	Set up vide Deed of Trust dated October 17, 2013 registered as Document No. 666/13-14 in Book IV with the office of Sub Registrar, Shivajinagar
2.	KGMG Family Trust	Set up vide Deed of Trust dated January 24, 2013 registered as Document No. 907/12-13 in Book IV with the office of Sub Registrar, Shivajinagar
3.	Business Catalyst and Scaler Trust	Set up vide Deed of Trust dated May 27, 2015 registered as Document No. 40/15-16 in Book IV with the office of Sub

		Registrar, Vijaynagar
4.	Dham Family Trust	Set up vide Deed of Trsut dated February 04, 1992 unregistered
5.	Pratithi Investments Trust	Set up vide Deed of Trust dated December 19, 2014 registered as Document No. 506/14-15 in Book IV with the office of Sub Registrar, Bomanahalli
Aeon Learning Private Limited (Petitioner No.2/ Resulting Company)		
S. No.	Name of Shareholder	Details of Trust
1.	SAMA Family Trust	Set up vide Deed of Trust dated October 17, 2013 registered as Document No. 666/13-14 in Book IV with the office of Sub Registrar, Shivajinagar
2.	Business Catalyst and Scaler Trust	Set up vide Deed of Trust dated May 27, 2015 registered as Document No. 40/15-16 in Book IV with the office of Sub Registrar, Vijaynagar
3.	Jupiter Trust	Set up vide Deed of Trust dated November 09, 2016 with PAN AACTJ506E
4.	Pratithi Investments Trust	Set up vide Deed of Trust dated December 19, 2014 registered as Document No. 506/14-15 in Book IV with the office of Sub Registrar, Bomanahalli

H. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed additional Affidavit dated 14th

September, 2018 stating that the observations raised by the Directorate at para No. (1) to (5) of ROC's affidavit dated 21.08.2018 have been accepted by the Petitioner and the necessary compliance has been undertaken. However, it is further stated that with respect to para No. (6), the Directorate had sought for details of the registration of the Trusts and its beneficiaries and the petitioner has not furnished the details of registration of all the trusts and has also not furnished the details of its beneficiaries.

I. The Counsel for the Petitioner Companies submitted a Memo dated 19.09.2018 with details of the trust, trust shareholders and trust beneficiaries of the Petitioner Companies

J. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed another additional Affidavit dated 03rd October, 2018 stating that the competent authority on behalf of the central government has examined the Petitioner Companies' Memo of shareholders details dated 19.09.2018 filed before the Hon'ble NCLT on the captioned subject and as a result, the Directorate does not have any objection to the Scheme of Arrangement.

K. The Counsel for the Petitioner Companies has filed a Memo on 05.10.2018 along with a copy of Accounting Treatment Certificate dated **12th June, 2018** of the Auditor stating that "based on our examination of the Scheme and according to the information and explanations given to us, we confirm that the accounting treatment contained in the aforesaid Scheme is in compliance with the Indian Accounting Standard 103 "Business Combination" applicable to the company as on April 1, 2017 being the Appointed Date for the Scheme except for the recording of assets acquired by Aeon at their book values, pursuant to demerger of Online Education Division of Edvista into Aeon in terms of Clause 12.1 of the Scheme."

L. After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER as follows:

a) While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law and we also make it clear that consideration for demerger, the resultant company shall issue and allot shares strictly as per Share Valuation report provided by BM Manjunath & Associates, Chartered Accountants, #717/60A, Ashraya, 2nd Floor, 6th Main, 5th Cross, Vijayanagar, Bangalore-560040 (at **Annexure K** of the Petition), will even override Clause 11 of the Scheme.

b) The whole of the property, rights and powers of the Online Education Division of Petitioner No.1/Demerged Company be transferred without further act or deed to Petitioner No.2/Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting Company for all the state and interest of the Demerged Companies therein but subject nevertheless to all charges now affecting the same; and

c) All liabilities including taxes and charges, if any and duties of the Online Education Division of Petitioner No.1/Demerged Company be transferred without further act or deed to Petitioner No.2/Resulting Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company; and

d) All proceedings now pending by or against the Petitioner No.1/Demerged Company No.1 relating to the Online Education Division, if any, be continued by or against the Petitioner No.2/Resulting Company; and

e) All employees of the Online Education Division of the Petitioner Companies will become employees of the Resulting Company without any break or interruption of service.

f) The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

g) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

h) The Appointed Date will be **1st April, 2017** as per the Scheme.

i) The Petitioner Companies should ensure compliance of his affidavit dated 21st August, 2018.

j) The approval of the scheme is subject to the compliance of the following:

(i) Demerged companies need to ensure compliance of Section 188 of the Companies Act 2013 as they have entered into substantial related party transactions. The ROC has to satisfy itself that the related party transactions are in order in accordance with the act and relevant rules.

(ii) The Companies are to comply with applicable accounting standards and other generally accepted accounting principles.

(iii) The ROC will accept the scheme only after the Companies comply with section 188 of the Companies Act, 2013.

k) The Petitioner No.1/Demerged Company No.1 or its authorised signatory is directed that after the completion of the process of demerge to handover the possession of the books of accounts and other relevant documents to Petitioner No.2/Resulting Company for the purpose of Section 239 of the Companies Act, 2013.

l) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

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